

Agenda
Telluride Housing Authority Meeting
Tuesday, December 13, 2022 @ 1:30 PM
Rebekah Hall, 113 W Columbia Ave

CALL TO ORDER

ROLL CALL

1. APPROVAL OF MINUTES

- a. Meeting Of November 15, 2022
[Telluride Housing Authority - 15 Nov 2022 -DRAFT Minutes](#)

2. ACTION ITEMS

- a. Consideration of a Recommendation of the Telluride Housing Authority Subcommittee Regarding Acceptance of the Proposed Contract Sum for the Voo Doo Affordable Housing Project and Authorization to Proceed with Construction of the Project as set forth in Part 2 of the Contract Between the Telluride Housing Authority and Shaw Builders LLC
[2a and 2b Materials Voo Doo](#)
- b. Consideration And Action On A Resolution Authorizing The Issuance And Sale Of The Telluride Housing Authority Revenue Bond (Voo Doo Project), Series 2022 and 2023, Payable From The Net Revenues From The Project And Other Available Moneys, And Providing Other Details Concerning The Bond, Including, Without Limitation, Covenants And Agreements In Connection Therewith

3. ADJOURN

DRAFT MINUTES
Telluride Housing Authority Annual Meeting
Tuesday, November 15, 2022 @ 4:30 PM
(Or soon as thereafter as possible)
Rebekah Hall, 113 W Columbia Ave

PRESENT: Chair DeLanie Young
Secretary/Treasurer Dan Enright
Adrienne Christy
J. Meehan Fee (Via remote participation)

ABSENT: Co-Chair Geneva Shaunette
Jessie Rae Arguelles
Lars Carlson

CALL TO ORDER

Chair DeLanie Young called the meeting to order at 4:22 p.m.

I. APPROVAL OF MINUTES

- a. Meeting of May 10, 2022

MOTION

To approve the meeting minutes of May 10, 2022 as presented.

Moved by Adrienne Christy, seconded by Dan Enright.

PASSED, 4-0.

II. NEW BUSINESS

- a. Consideration of Resolutions Of The Telluride Housing Authority Retaining Officers Of The Telluride Housing Authority And The Members Of The Telluride Housing Authority Subcommittee

Assistant Attorney Allie Slaten introduced the item and explained the items presented for consideration are to either adopt II.a., to retain the current composition of the Authority and Subcommittee, or to proceed with II.b. and II.c. Attorney Slaten responded to questions.

MOTION

To adopt Resolutions Of The Telluride Housing Authority Retaining Officers Of The Telluride Housing Authority And The Members Of The Telluride Housing Authority Subcommittee.

Moved by Adrienne Christy, seconded by Dan Enright.

PASSED, 4-0.

- b. Election of Officers

- c. Consideration of Resolutions Of The Telluride Housing Authority Certifying Election Of Officers And Designating Members Of The Telluride Housing Authority Subcommittee

III. ADJOURN

The meeting was adjourned by unanimous consent at 4:25 p.m.

Secretary/Treasurer Dan
Enright

**TOWN OF TELLURIDE
TOWN COUNCIL
&
TELLURIDE HOUSING AUTHORITY
AGENDA MEMORANDUM**

Agenda Items:
Telluride Housing Authority - 2a, 2b
Town Council – 9a, 9b
Meeting Date: 12/13/22

TITLES:

TELLURIDE HOUSING AUTHORITY

2a. Consideration of a Recommendation of the Telluride Housing Authority Subcommittee Regarding Acceptance of the Proposed Contract Sum for the Voo Doo Affordable Housing Project and Authorization to Proceed with Construction of the Project as set forth in Part 2 of the Contract Between the Telluride Housing Authority and Shaw Builders LLC.

2b. Consideration And Action On A Resolution Authorizing The Issuance And Sale Of The Telluride Housing Authority Revenue Bond (Voo Doo Project), Series 2022 and 2023, Payable From The Net Revenues From The Project And Other Available Moneys, And Providing Other Details Concerning The Bond, Including, Without Limitation, Covenants And Agreements In Connection Therewith

TOWN COUNCIL

9a. Consideration Of A Resolution Of The Town Council Of The Town Of Telluride, Colorado, Concerning The Telluride Housing Authority And Its Revenue Bonds (Voo Doo Housing Project), And Declaring The Town Council's Non-Binding Intent To Appropriate Or Provide Funds To Make A Deposit To The Bond Fund Securing Such Bonds To The Extent That Moneys On Deposit In The Bond Fund Are Not Sufficient To Pay The Debt Service Requirements On The Bonds When Due

9b. Authorization of the Town Manager to Make Expenditures from the Telluride Affordable Housing and Capital Funds in Support of the Voo Doo Affordable Housing Project

SUBMITTING DEPARTMENTS: Town Manager, Legal & Finance

EXHIBITS:

1. Project Site Plans, Elevations and Floor Plans
2. Project Budget Summary
3. Resolution Authorizing The Issuance And Sale Of The Telluride Housing Authority Revenue Bonds – Telluride Housing Authority Agenda Item 2b
4. Resolution Providing Non-binding Moral Obligation – Town Council Agenda Item 9a

BOARD/COMMISSION/COMMITTEE RECOMMENDATIONS: The Subcommittee of the Board of Directors of the Telluride Housing Authority (“Subcommittee”) recommends the Telluride Housing Authority (“THA” or “Authority”) and Town Council (“Council”) proceed with construction and financing of the Voo Doo Affordable Housing Project (“Project”) as set forth herein.

INTRODUCTION

Consistent with the 2022 and 2023 Town Council Goals and Objectives for *I. Preserve Community, A. Pursue Affordable Housing Opportunities; 1. Implement existing projects; c. Complete design and commence construction on Voodoo Lounge (include deed-restricted commercial space)*, the Telluride Housing Authority Subcommittee has prepared for Council’s consideration recommendations to proceed with the Voo Doo Affordable Housing Project as set forth herein, including authorizing the execution of the Part 2 of the Design/Build contract for the Project’s construction (THA agenda item 2a). In support of these recommendations, staff, and the Town’s and Authority’s bond counsel (Butler/Snow) and financial underwriter (Stifel), have prepared resolutions for Council and the Authority’s consideration (THA agenda item 2b, Council agenda item 9a), which, if approved, would enable the Project to proceed to the construction and implementation phase. These agenda items are more specifically described and discussed below in this memorandum.

Also, in support of the Project, on November 22, 2022 Council passed an emergency ordinance authorizing the execution of a 100-yr. ground-lease between the Town and the THA for the purposes of constructing and operating the Project.

BACKGROUND/DISCUSSION

The Voo Doo Site (“Property”) is town-owned land approximately 17,400 sf. in size located at the northwestern corner of the Willow St. and Pacific Ave., directly west of the Telluride Post Office. The Property also includes the “Community Room” wing of the Marshal’s Building. In August of 2021 Council selected Shaw Construction AKA Shaw Builders LLC (“Shaw”), teamed with CCY Architects, for Design/Build services for the Project, and authorized the Subcommittee to proceed to the design, entitlement and cost estimation phase. The Design/Build contract with Shaw established a two-step process, the first consisting of a design and cost estimation phase (Part 1); and a construction phase (Part 2), which would not commence unless, and until, the Proposed Contract Sum or Guaranteed Maximum Price (“GMP”) (a fixed, not to exceed cost) from the Design/Builder for the construction of the Project, as described and set forth in the Project’s plans and specifications, was accepted.

The Subcommittee and the Design/Build team have completed the design and entitlement processes for the Project, obtaining Planning and Zoning Commission approval for the PUD and Subdivision aspects in March 2022, and final HARC approval in August of 2022. Since the August the Design/Build team has worked to complete the Design Development drawings and plans, and the associated final cost estimation (GMP) for the Project.

Based on the GMP and associated Design Development drawings, the Subcommittee recommends THA contract with Shaw Builders LLC for the Part 2 Services for the Project with a not-to-exceed GMP amount of \$24,076,782. The Part 2 contract provides for full performance and

payment bonding¹, one-year warranty, the right of the owner to terminate at any time, etc. Project plans and contract documents are available for review at the Town Attorney's office. The Part 2 contract would be with the Telluride Housing Authority, rather than the Town, as the ground lease and Project bond indebtedness will run with the Authority.

PROJECT SUMMARY

As noted above, the design and entitlement processes for the Project have been completed, specifically encompassing HARC approval for new construction, restoration of the on-site contributing rated shed, demolition of non-historic structures, and alterations to the existing Marshal's Building; and Planning and Zoning Commission approval for the major subdivision to combine lots and a Planned Unit Development for the new lot size greater than 5875 sf. and a height increase above 35' for a limited portion of the site. The Project's site plans, elevations, and floor plans are included as Exhibit 1².

As designed and approved, Project is comprised of approximately 42,818 sf. including parking and mechanical areas. The four primary components of the Project (affordable housing, commercial space, public restrooms and the new Free Box) are generally consistent with previous Council discussions regarding development of the site and are described in greater detail below.

- A. **Affordable Housing** – 27 units, comprised of 1- , 2-, 3- and 4-bedroom units, located on the first, second, third, and fourth levels. Covered parking for the units is located within the parking garage, or at grade and accessed from the alley bordering the Project to the north. Most units have private decks and all units have an assigned private storage locker.

The housing unit mix and approximate unit sizes are summarized in the table below:

Use	Number of Units	Range of Unit Size (exclusive of parking spaces, external storage areas, circulation, mechanical, bike storage, etc.)
One-Bedroom/Studio	8	364 sf. to 650 sf.
Two-Bedroom	10	808 sf. to 1103 sf.
Three-Bedroom	8	963 sf. to 1230 sf.
Four-Bedroom	1	1490 sf.

- B. **Commercial Space** – approximately 3700 sf. of tenant-finish commercial space is located on the ground floor along the Willow St. And Pacific Ave. frontages, and within the historic contributing-rated shed. The commercial space is not “deed-restricted” to specific uses and would be suitable for office and retail activities for public, non-profit, or private tenants. The commercial space is not designed to support full restaurant or commercial kitchen uses.
- C. **Public Restroom** – a single-stall public restroom is located on the ground level on the northern side (courtyard) of the commercial space and is accessible from Willow St.

¹ Or other form of performance security as determined suitable and acceptable by the Authority.

² The plans in packet are an in-process set and reflect some but not all recent minor changes and refinements associated with value engineering activities.

- D. **Free Box** – a new 162 sf. Free Box (approximately twice the size of the current Free Box on the N. Spruce St.) is located at the ground level along the Willow St. façade, across from the Post Office. It also opens to the courtyard between the new construction and the historic shed. The new Free Box is lit and lockable with coiling doors.

Primary exterior building materials are brick, composite siding, and prefinished metal siding. Interior finishes will be similar in quality to recent Town/THA projects and include low VOC paint, LVT flooring; textured melamine cabinets and doors; and drywall trimmed windows and doors.

Consistent with recent housing projects, minimizing anticipated operational expenses has been a focus throughout the Project's design, and is addressed through a roof designed "to hold the snow" by minimizing heat loss and limiting exterior heating to down spouts and gutters, as well as using exterior materials that require minimal repainting or staining. The building, however, will require an elevator, of which annual maintenance and inspection expenses will be incurred.

The Project has been designed to meet the "Town of Telluride Energy Efficient and Environmentally Responsible Building Code, and is "Net Zero" ready, meaning energy use has been modeled and minimized, the building is all-electric, and the roof and electrical infrastructure has been prepped to maximize PV in the future. A small solar array is utilized to off-set the projected energy usage associated with heating the driving ramp to the parking area, and potentially some of the exterior heating for gutters and downspouts. Additional solar panels could be placed on the roof in the future to offset a percentage (not all) of the building's total energy demand.

Following is a listing of "green" or sustainable products and practices incorporated into the Project: continuous exterior insulation; building product installation techniques for a properly sealed envelope; Energy Star rated appliances and all LED lighting fixtures; low-E glazed windows; energy saving water fixtures/fittings' and interior material selections that are all on the "Mindful Material" list, which looks at both indoor air quality and manufacturing practices.

Project Purpose/Affordability Targeting

The Subcommittee recommends the Project be comprised of rental rather than for-sale units, as the demand for rental housing remains high - demonstrated by the waitlists³ at Shandoka, Virginia Placer, and Sunnyside projects. For Voo Doo, the Subcommittee recommends the initial rents of the Project be focused more towards higher wage earners than past rental projects, with affordability to income groups in the 110% to 170% AMI⁴ range (average of 140%) for San Miguel County, and with the assumption that County household incomes will rise approximately 12% from County AMI levels last published in April 2022 and the Project's completion in 2024. The rents associated with the recommended affordability range listed above would support revenue bonds for the Project's development and construction in the amount as indicated in the Project Budget Summary (Exhibit 2) with the lending assumptions described later in this memorandum. The Subcommittee would return to Council and THA when the Project is approximately 70% complete with specific rent rate recommendations for individual units within the Project's affordability targets.

³ As of 12/8/2022 the waiting lists for Shandoka, Virginia Placer Apartments, and Sunnyside are 174, 113 and 166 persons, respectively (with some persons on both lists).

⁴ Area Median Income for San Miguel County. For in the County, the present annual two-person household income at 110% AMI is \$84,100, which increases to \$130,050 for a two-person household at 170% AMI.

The higher rent structure for the Project is proposed primarily to off-set inflation in the construction and development costs, and to keep subsidies to a sustainable level. Those realities notwithstanding, the Project could provide opportunities to the middle to upper middle-income groups which presently have fewer rental options in the present THA/Town rental portfolio of deed-restricted units. Overall, approximately 93% of all deed-restricted rental units in the Town of Telluride⁵ (Town/THA-constructed and mitigation) have required rent caps, or have rents set as matter of policy, at approximately 95% AMI or below, and approximately 90% of all deed-restricted rental units have upper income limits for occupants set at 125% AMI or below. Should the Project proceed to construction, the Subcommittee will explore means to reduce the recommended AMI rent levels for the Project prior to occupancy through seeking grant funding and other potential funding sources.

For the commercial space, the Town Manager's Office would return to Council and THA when the Project is approximately 70% complete with recommendations regarding occupancy, use, rental rates and policies.

Project Budget/Subsidies and Contributions

The recommended Project Budget, including sources and uses, is attached as Exhibit 2. The Proposed Total Contract Sum (Guaranteed Maximum Price) from Shaw Builders LLC of \$24,076,782 is inclusive of all construction costs, Design/Build fees, and expenses associated with the preparation of final construction documents, insurance, and bonding. The total development costs of the Project as set forth in Exhibit 2 are inclusive of owner construction-related contingencies and expenses, and all previously approved utility relocation work and pre-construction design documents and studies.

As can be noted in Exhibit 3, the recommended sources of funds for the Project are revenue bonds issued to THA, and the Town of Telluride's Affordable Housing Fund (for the rental housing units) and Capital Fund (for the commercial space, public restroom, and new Free Box). Specifically, the amount of cash subsidy required for the Project from the Affordable Housing Fund Set Aside and Capital Fund are \$4,591,094 and \$1,337,834, respectively. Note the Affordable Housing Fund subsidy amount includes expenses incurred to date for design and other pre-construction costs, and future contributions from the Capital Fund could occur over a two-year period (2023, 2024). The 2023 Affordable Housing Fund Set Aside Budget is \$4,500,000 which includes a rollover of \$1,380,000 of projected 2022 fund balance. The 2023 Capital Fund Budget beginning balance is \$2,500,000. The recommended Project Budget assumes the building permit and water/sewer taps fees are waived for the Project, and it is likely small subsidies from the Affordable Housing Fund will be necessary during the first three years of occupancy to off-set operational expenses (est. \$37,000/yr.).

With respect to the affordable housing development/construction component, the estimated amount subsidy per unit, including all development costs and pre-construction expenses for the Project, is approximately \$170,000 per unit. For comparison purposes, the full subsidy per unit for the Sunnyside and Longwill 16 projects were approximately \$117,000 and \$108,600, respectively. The highest full subsidy per unit for a Town/THA-constructed project was Entrada at approximately \$131,000/unit in 2009-2011. The higher subsidy amounts recommended for the Voo Doo Project reflect the inflation in construction and development costs and, to a lesser extent, increases in interest rates.

⁵ Approximately 252 units and 27 boardinghouse rooms.

Grant funding for the capital construction cost of the housing component will be pursued, and if successfully awarded, could lower the final size of the bond and associated annual debt service, which in-turn could allow lower AMI targeting. Accordingly, on Dec 10th the Authority submitted a Letter of Intent to the Colorado Department of Local Affairs State expressing its desire to seek funding for capital construction expenses associated with Project though the recently announced Transformational Affordable Housing, Homeownership, & Workforce Housing Grant Program. Grant funding will also be explored through other sources for the rehabilitation for the contributing-rated shed.

For the commercial space, assuming the recommended subsidy amount from the Capital Fund, it is projected that a triple net lease rate of the space at approximately \$35/sf. would be sufficient to off-set the associated annual debt service and maintenance expenses. The \$35/sf. rate is understood to be below current market rates for ground level, off Main Street office or retail space. The development and construction expenses for the associated with public restroom and Free Box are proposed to be funded completely from the Capital Fund and thus would have no associated revenue bond debt service. As noted above, the specific rent rate and occupancy policies would be developed by the Town Manager's Office during construction, and would be presented for Council and THA review when the Project is approximately 70% complete.

Project Financing Approach

Subcommittee recommends the Project and Property be transferred to THA (through a 100-yr land lease approved by Council on November 22, 2022), which would use the Project and Property as collateral to secure multi-year financing for construction of the Project. If transferred to THA, it is assumed the Project would be administered and managed by THA, although other management options could be explored.

Please see Exhibit 3 for the Resolution of THA accepting the ground lease of the property and subsidy funds from the Town of Telluride, and authorizing the issuance of a revenue bond through a private placement with NBH Bank for the construction and development of the Project. The revenue bond is comprised of three tranches as follows: a 2022 Series bank qualified, tax-exempt bond (\$6,070,000); a 2023 Series tax exempt bond (approximately \$14,430,000); and a smaller, 2023 Series taxable bond (approximately \$1,000,000).

Key terms of the bond include:

- security in the form of a Leasehold Deed of Trust;
- THA to maintain debt service coverage ratio of 100%
- a fixed interest rate through maturity depending upon the option below. [note: rates are subject to change with market movement until the rate lock; December 14, 2022 expected for the Series 2022 Bonds and December 29, 2022 expected for the Series 2023 Bonds];
- 30-year amortization schedule with parameters established permitting the bonds to be callable throughout the term with the option of:
 - a 20-year term; callable after 10 years [2032] at par with no penalty ("no make whole provision" after 10 years); currently at 5.17%/6.05%/6.40% [for bank-qualified/tax-exempt/taxable series]
 - a 10-year term; callable after 5 years [2027] at par with no penalty ("no make whole provision" after 5 years); currently at 4.80%/5.68%/6.00% [for bank-qualified/tax-exempt/taxable series]
- Prior to the par call, both above structures can be called on any interest payment date with a rate maintenance provision
- a debt service reserve fund is not required

- Construction draw-down schedule is permitted through November 30, 2024. THA only pays interest on amount drawn.
- a covenant stating the residential housing units that will be constructed as part of the Project shall be used exclusively as affordable housing for persons and households working within the boundaries of the Telluride R-1 School District." The covenant does not restrict the use of the commercial space; and
- an escrow or depository account for the construction drawdown be maintained at Community Banks of Colorado and additional depository business to be agreed to by the Town and the Bank.

Pursuant to the terms of the resolution, final bond pricing will be decided and delegated to the Town Mayor as Chairperson of the Telluride Housing Authority, and the Town Manager the THA Executive Director, however Council direction on the preferred bond scenario is desired at this juncture.

Also scheduled for Council's consideration as agenda item 9a is a non-binding, moral obligation resolution (Exhibit 4) wherein the Town of Telluride would agree to advance sufficient funds to make bond payments in the event THA was unable to do so. A moral obligation has been employed for the Shandoka, Virginia Placer, and Sunnyside bonds, and assists the Town and THA with achieving favorable interest rates and bond terms for long-term financing.

Form of Deed Restriction/Lottery

The Subcommittee recommends the Project's housing units be occupied pursuant to specific requirements developed by the Subcommittee (for subsequent review by the Council/THA), and consistent with the Telluride Affordable Housing Guidelines for Town Constructed and Financed Projects, and be made available to qualified employees through an open lottery, which would be conducted when the Project is approximately 80% complete and walkable for review by potential renters.

Town/Mental Health Units

The Subcommittee recommends a maximum of three units be set aside for town employees (such units would not be subject to the lottery or occupant qualification standards established for the Project), and one unit be set aside for a mental health professional, with occupant to be selected in consultation with the Behavior Health Collaborative Board (such unit would be subject to the lottery or occupant qualification standards established for the Project).

Pet Policy

The Subcommittee would determine any pet policy for the Project prior to occupancy.

Project Timeline

If the Project is authorized to proceed at this time, the Subcommittee would recommend site work begin in January 2023 with Project completion projected for August of 2024, a 19-month construction period.

RECOMMENDATION

If THA and Town Council agree with the recommendations of the Subcommittee of the Board of Directors of the Telluride Housing Authority to proceed with construction and development of the Voo Doo Affordable Housing Project as set forth herein, the following motions are appropriate:

Convene as the Board of Commissioners of the Telluride Housing Authority, and move to (THA Agenda Item 2a):

“Direct the Subcommittee of the Telluride Housing Authority [as members of the Voo Doo Project Committee] to proceed with the Voo Doo Affordable Housing Project, as set forth herein, and authorize Scott Robson, as agent for the Authority, to execute Part 2 of the Design/Build contract with a Proposed Contract Sum of \$24,076,782, submitted by Shaw Builders LLC, for the Voo Doo Affordable Housing Project.”

And move to approve (THA Agenda Item 2b):

“A Resolution Authorizing The Issuance And Sale Of The Telluride Housing Authority Revenue Bond (Voo Doo Project), Series 2022 and 2023, Payable From The Net Revenues From The Project And Other Available Moneys, And Providing Other Details Concerning The Bond, Including, Without Limitation, Covenants And Agreements In Connection Therewith.”

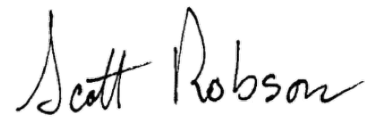
Then, adjourn as THA, reconvene as Town Council, and move to approve (Town Council Agenda Item 9a):

“A Resolution Of The Town Council Of The Town Of Telluride, Colorado, Concerning The Telluride Housing Authority And Its Revenue Bonds (Voo Doo Housing Project), And Declaring The Town Council’s Non-Binding Intent To Appropriate Or Provide Funds To Make A Deposit To The Bond Fund Securing Such Bonds To The Extent That Moneys On Deposit In The Bond Fund Are Not Sufficient To Pay The Debt Service Requirements On The Bonds When Due.”

And move to (Town Council Agenda Item 9a):

“Authorize the Town Manager to make expenditures in compliance with the attached Project Budget from the Affordable Housing Fund (Set Aside) and Capital Fund for expenses in support of the Voo Doo Affordable Housing Project as set forth herein.”

Prepared By: Lance McDonald, Program Director
Kevin Geiger, Town Attorney



Town Manager